

force can be created by enlightened consumer franchise to spur industry into innovative thinking for social action.

India's young demographic profile will also support this trend. In late 2006, a Cone Millennial Cause Study in the US found that, amongst the youth, nearly nine out of ten surveyed stated that they were likely or very likely to switch from one brand to another (price and quality being equal) if the second brand was associated with a good cause. **This goes to indicate that with greater awareness through education and exposure, the future generation will tend to exercise a 'vote' for companies with higher social accountability.** This is now getting to be a worldwide trend, and with increasing connectivity through the Internet, widespread media and new tools for communication, I can see the emergence of a young global community, who share common views, common concerns, and common hopes and aspirations. This is a force that is lying dormant amongst India's confident new young generation, and once unleashed will be a formidable catalyst for change.



ALIGNING FORCES OF FRANCHISE

Given the power of consumer franchise, how do we align forces amongst all the market participants to support a new movement for innovative CSR?

To make 'consumer choice' a compelling market driver we would need to create a supportive **institutional framework** to facilitate the process of making an informed choice by market participants. Let me briefly elaborate on some of these enablers :

First, the Policy and Institutional Framework.

- Market participants would need an effective tool to make an informed choice in favour of a Responsible Corporation. **I would suggest that Government support the development of a 'CSR Sustainability Trustmark', or a series of Trustmarks** defined by Industry segments, which could be displayed on products and services to convey to the consumer that the enterprise follows a strong commitment to building natural and social capital. Voluntary in nature, these Trustmarks, crafted on sound scientific and market principles, will stand for the positive impact a company has made on the environment and the society. The Trustmarks could also be supplemented with Ratings, based on the extent of the individual company's involvement in creating societal capital.

- **The Trustmarks need to be administered by a reputed and independent body or bodies**, much like the financial rating agencies. An institutional framework and appropriate guidelines

can be created by a Government-Industry partnership to provide organisational support and credibility.

- **A major impetus can emerge out of Government's consideration to extend fiscal and financial concessions, priority clearance** and other incentives to organisations that attain sustained high ratings. Government and its agencies could also give purchase preference to suppliers with highly rated Trustmarks.

Second, the role of Industry :

- In championing a sincere **commitment to a Vision that embraces contribution to Society as a key component of business strategy**

- In moving towards **voluntary disclosure of Triple Bottom Line performance** in the Company's Annual Reports, verified by independent reputed third party organisations.

- In making a strong effort **to attain the CSR Sustainability Trustmarks**, and displaying the same on their products and services.

- In enlarging the Company's contribution by giving **preference to vendors with a strong CSR and Sustainability orientation.**

- In developing a model **code of responsible conduct** by Industry bodies and associations for its members.

- In encouraging Modern Retail outlets to develop **special sections that display and sell products with Trustmarks.**

- In providing **support to the creation of Awards** that recognise outstanding Sustainability Performance. This would provide a tremendous reputational asset and incentivise CSR significantly.

- **In strengthening reporting on Sustainability** based on guidelines such as the Global Reporting Initiative. I am sure that the Indian operations of multinationals, not listed on Indian bourses, would also want to make such public disclosures and demonstrate their contribution to the Indian Society. I envisage a future where Sustainability Reporting will form an integral part of a firm's public disclosures, and will be valued by stakeholders in equal measure to the established practices of financial reporting.



Third, the role of Investors.

- **Investors play a critical role in encouraging social accountability in corporate behaviour.** Globally, there are today hundreds of funds that invest in socially responsible enterprises. These funds rely on Sustainability Indices such as Dow Jones Sustainability